In theory, you could define rules that allow all traffic to enter and leave your virtual machine; AWS won't prevent you from doing so. But it's a best practice to define your rules so they are as restrictive as possible.

Security group resources in CloudFormation are of type `AWS::EC2::SecurityGroup`. The following listing is in /chapter05/firewall1.yaml in the book's code folder; the template describes an empty security group associated with a single EC2 instance.

Listing 5.1 CloudFormation template: Security group

```
---
[..]
Parameters:
  VPC:                                    ①
    # [..]
  Subnet:                                 ①
    # [..]
Resources:
  SecurityGroup:                          ②
    Type: 'AWS::EC2::SecurityGroup'
    Properties:
      GroupDescription: 'Learn how to protect your EC2 Instance.'
      VpcId: !Ref VPC
      Tags:
      - Key: Name
        Value: 'AWS in Action: chapter 5 (firewall)'
  Instance:                               ③
    Type: 'AWS::EC2::Instance'
    Properties:
      # [...]
      SecurityGroupIds:
      - !Ref SecurityGroup                ④
      SubnetId: !Ref Subnet
```

① You'll learn about this in section 5.5.

② Defines the security group without any rules (by default, inbound traffic is denied and outbound traffic is allowed). Rules will be added in the following sections.

③ Defines the EC2 instance